

HCJD/C-121
JUDGMENT SHEET
IN THE SLAMABAD HIGH COURT, ISLAMABAD

1. W.P. No.1891 of 2022

M/s Pakistan Mobile Communications Ltd.

Versus

Federation of Pakistan and others

2. W.P. No.2054 of 2022

M/s Pakistan Mobile Communication Ltd., Islamabad through its duly
authorized Representative

Versus

FOP through Secretary Revenue Division M/o
Finance, Islamabad and others

Petitioner by : M/s Uzair-bin-Shafie
and Umar Shahzad, Advocates.

Respondents by : Syed Ishfaq Hussain Naqvi,
Advocate.
Mr. Aqeel Akhtar Raja, Assistant
Attorney-General.

Date of Decision : 21.03.2024.

Babar Sattar, J:- Through this judgment the Court will decide the
aforementioned Writ Petitions.

2. The petitioner is aggrieved by show cause notices dated
10.05.2022 issued pursuant to the provisions of the Federal Excise Act, 2005
("Excise Act").

3. Learned counsel for the petitioner submitted that in W.P. No.1891/2022
the petitioner had been asked to show cause as to why Federal Excise Duty
is not to be recovered from January 2016 to December 2016 which period
fell beyond the period of limitation prescribed under section 14(1) of the
Excise Act. He submitted that in view of section 4(2) of the Excise Act tax
returns were to be filed on monthly basis and were due by or before 15th day
of following the month in relation to which tax

returns were to be filed. He submitted that in view of the limitation period no show cause notice could be issued for any period after March 2017. He submitted that even in W.P. No.2054/2022 some of the period in relation to which a show cause notice had been issued (i.e. January 2017 to December 2018) was beyond the period of limitation as stated above. He submitted that additionally the show cause notice also suffered from jurisdictional defect as under provisions of the Excise Act the authority to undertake assessment had been vested in the

Audit Directorate of the Federal Board of Revenue and the Enforcement Department that had issued the show cause notice had no jurisdiction to undertake assessment. He submitted that the jurisdictional question had been settled by this Court in its judgment dated 17.06.2022 passed in Port Qasim Electric Power Co. Ltd. through its duly Authorized Officer Vs.

Pakistan through the Secretary Revenue & Ex. Officio Chairman, FBR, Islamabad and others (W.P.

No.597/2022). He submitted that even on merits no case was made out against the petitioner.

4. Learned counsel for the tax department did not contest the contention of the petitioner in relation to W.P. No.1891/2022 that the show cause notice related to a period that fell beyond the prescribed period of limitation. He submitted that in W.P. No.2054/2022 the show cause notice covered some period that was beyond the prescribed limitation period but a nine-month period covered under such show cause notice was within the period of limitation. He further submitted the judgment of this

Court in Port Qasim Electric Power Co. Ltd. had been

impugned in I.C.A. No.264/2022. During the proceedings the Tax department informed the Divisional Bench that a corrigendum dated 12.01.2023 had been issued by the Federal

Board of Revenue with regard to jurisdiction of Chief Commissioner and Commissioner Inland Revenue and the judgment of this Court in Port Qasim Electric Power Co. Ltd. had therefore been complied with.

5. The petitioner has challenged show cause notices in writ jurisdiction, which can only be challenged on limited jurisdictional grounds. The parties are in agreement in relation to the show cause notice impugned in W.P. No.1891/2022 that the period mentioned in such show cause notice falls beyond the prescribed period of limitation. Similarly, in relation to both petitions it is not in contention that pursuant to the judgment of this Court in Port Qasim Electric Power Co. Ltd. a show cause notice issued by Deputy Commissioner Inland Revenue from the Enforcement Division was devoid of authority as the Enforcement Division had not been delegated authority for purposes of undertaking assessment of the Federal Excise Duty due from the petitioner. As the judgment of this Court in Port Qasim Electric Power Co. Ltd., having been complied with by the tax department, has attained finality, the aforementioned petitions are allowed in terms of such judgment and the impugned show cause notices are therefore set aside for being without jurisdiction.

(BABAR SATTAR) JUDGE

M.A. Raza